

Briefing: Western Europe

Executive Summary

- Western Europe suffers from significant political instability that seems destined to affect national economies.
- This comes at a time of uncertainty in the international system. Donald Trump's election worries Western European countries, particularly because the President has promised to impose tariffs, including on his country's allies.

This report covers events in Western Europe during November 2024. It focuses on the most salient issues and questions in the broad geographic area to improve clarity. While focusing on a few countries, it explores transnational implications in each analysis.

Regional Overview

- November has been a month filled with unexpected political events whose outcome will define the next decade of European politics. These include the collapse of the German coalition and the imminent censorship of Michel Barnier's government in France. In both cases, these events benefit far-right and right-wing populist movements whose influence seems destined to grow.
- The leading coalition that will form the government in Ireland will still be determined after the Irish general elections at the end of November. Meanwhile, the UK has been dealing with farmer protests and the deterioration of its relations with Russia this month. In addition, many EU Western countries' deficit forecasts are set to increase while not meeting the EU's requirements.

Regional Analysis

Data Snapshot

- The European Commission's economic forecast predicts a [GDP growth of 1.5% in 2025 for the EU, a sharp increase from 2024's 0.9% and, more generally, a sign of a positive trend for the Union](#). However, this trend does not seem to be driven by Western European countries, or at least not by the two main powerhouses of the EU. Indeed, Germany has suffered from a decline in economic activity in 2024, which will be compensated by an improved forecast of 0.8% in 2025. This relatively low result results from the decline in the demand for industrial goods and general market uncertainty. Similarly to Germany, France's economy, while still growing, is also showing signs of stability with a relative deceleration and stabilisation of

around 1% of growth per year. This trend is not shared among countries part of the European South; Portugal and Spain's economies are projected to grow by 1.5 and 3% of GDP. There are various explanations for these trends; the most important ones are undoubtedly the size of these economies and their specialities. For example, Germany's relative deceleration can be explained by the relative lack of demand for industrial goods internationally.

Key Developments

- There have been some tensions this month in the United Kingdom regarding Russia and their capture of a British man fighting in Ukraine and the imposition of new sanctions on Russian vessels.

In addition, the UK has also been dealing with internal pressures since farmers marched to the UK Parliament last month due to the Parliamentary decision to eliminate a tax break that would exclude agricultural property from inheritance tax. This would mean agricultural properties over 1 million pounds would incur a 20% tax when the owner dies and passes the property to the next relative.

- The European Union budget guidelines require Member States to maintain their deficits under 3%. The EU has warned some Western European countries, such as Germany and Austria, about this requirement. Moreover, the Netherlands has been the only revised draft budget that does not meet the EU requirements since it has exceeded the new guidelines. The Netherlands will need to make budget cuts to commit to the requirements.
- Germany's three-party coalition has fallen. After firing their Minister of Finance over state budget decisions and the general secretary of the Free Democratic Party (FDP), a document has surfaced with a plan from the FDP to start a political battle with their coalition partners. During the same time, the Social Democratic Party (SPD) nominated Chancellor Olaf Scholz, their lead candidate for the federal elections in February. Nevertheless, the current Chancellor might have few possibilities against Friedrich Merz, the leader of the FDP, since they are currently ahead in the polls. Members of the CDU favour Merz for his hard-right stances and his public image as a technocrat. Additionally, his conservatism is said to be a way to guarantee cooperation between the US and Germany, whose president-elect has expressed contempt for Merz's predecessor, Angela Merkel.

Moreover, amid this political crisis, Chancellor Olaf Scholz arrived on the 2nd of December in Ukraine to announce an arms delivery worth hundreds of millions to be sent before the end of the year. This statement was a surprise after he had previously avoided directly involving Germany in the conflict by refusing to send the Taurus cruise missiles.

- The Irish general elections took place on 29th November after the dissolution of the Dáil (the lower house of the parliament) on the 8th of November to trigger the general elections. Irish citizens voted to elect the Members of the Dáil. There are 174 seats in the Dáil, and 88 seats are needed to reach a majority. With a turnout of 59.7%, the Fianna Fáil Party won 48 seats, Sinn Féin won 39 and Fine Gael 38 seats.

The most likely coalition would be Fine Gael and Fianna Fáil, but they would only make 86 seats. To reach a majority, these two parties would need either the Independent Party with 16 seats or the Labour and Social Democrats with 11 seats. The coalition talks will likely take

time to reach an agreement to form a government, although they aim to reach the agreement before the new US presidency's inauguration.

- In France, the coalition of the government of Michel Barnier only governs thanks to the tacit support of Marine Le Pen's National Rally. Its attempt to pass the 2025 budget through parliament seems destined to fail, as Barnier seems to resist the blackmail attempts of far-right parliamentarians. As a result, he is forced to use the notorious article 49.3 of the French constitution, which allows him to bypass a vote in parliament but forces him to expose his government to a no-confidence vote. Both the National Rally and the left-wing coalition announced they would vote against Barnier's government in this vote. The vote took place on the 4th of December when the National Assembly voted to expel Prime Minister Michel Barnier, who had the shortest term as a prime minister in French history and was the first to be ousted by the Parliament. Now, all falls to President Macron; many have asked for his resignation since his term lasts until 2027. It is very likely that because of this political crisis, France will go into 2025 without an approved state budget.

Risk Assessment

- The situation in France is a first in the history of the 5th Republic. Firstly, it presents a structural risk for the country: the absence of government for a prolonged period of time. Indeed, the French president has the right to choose who to nominate as prime minister, and this minister requires the approval of the majority of members of parliament to govern. In this situation, no party has the absolute majority in the National Assembly, which forces parties to create coalitions. However, even the coalition-building process seems destined to fail as Macron's party is the king-maker but has refused to govern with the far right and the far left, which it perceives as dangerous to French democracy. Its current coalition with the centre-right requires the support of the far-right, which it does not seem willing to give any more. A coalition with centre-left parties (socialists/greens) seems impossible due to their presence in a coalition with the far-left. Therefore, France appears to have reached a stalemate, and no party seems to be able to govern. One of the solutions would entail the president's use of Article 16 of the constitution, which grants him exceptional powers for periods of 30 days. This would also be unprecedented; little about what exceptional power entails is known. This last resort solution is a clear message of the failure of the country's institutions. The alternative seems to be the constant collapse of governments and short periods of governance with little capacity to pass any significant reform.
- This situation presents a grave danger to the French economy in the short term. This political instability seems destined to shake the markets, particularly the credit rating agencies (CRA). With no budget being passed in parliament, the country will continue operating on its 2024 budget, leading to a worrying 6% deficit at the end of the year. Currently, most CRAs rate France as an AA or AA-; however, this rating is unlikely to remain with an unadapted and deficient budget and long-term political instability. *Risk level: high*
- In Germany, the risks are less salient. The upcoming election does not seem destined to bring radical and populist parties into power. However, there is little doubt that the election will consolidate their base in the Bundestag and locally. According to Politico's [Poll of Polls](#), the BSW and AfD are currently polling above 5%, with the former reaching 18%. While the election will take place in February, Scholtz's authority over his party and decision-making in

general will be weakened, which will likely prevent him from making major decisions. *Risk level: medium*

Upcoming Events

- The new EU Commission started in December 2024 and will last until 2029. This is the Commission with the least support from the Parliament in years, especially due to the differences between the right and left parties. In addition, their main objectives will be sustainability, defence and security, competition and defending democratic values.
- The Federal Election in Germany will take place on February 23rd, 2025, after the collapse of Chancellor Olaf Scholz's three-party government in November 2024. Friedrich Merz, the leader of the FDP, is currently ahead of the polls. A government with the Free Democratic Party as the winner will shift Germany's policies towards more conservative measures.
- UK-EU Relations: The UK is considering hiring an EU negotiator to improve relations between both powers. The objective will be to renegotiate the trade deal from 2020 and border and security policy. One of the main topics will likely be the EU Entry/Exit System, which will apply from next year and affect UK and EU citizens.
- Poland will hold the presidency of the Council of the European Union for six months in January 2025. Their priorities are the Ukraine conflict and improving cooperation with the enlargement of the western Balkans.
- The next European Council will take place on 20-21 March 2025. It will be the first European Council with Antonia Costa as president, who started his term in December 2024.

Spotlight on Emerging Trends

- More critical towards climate change policies: Due to the high costs of climate change policies and the rise of the far-right parties, many countries such as France, Germany, Austria and the Netherlands are more critical towards climate change policies. Nevertheless, it is still one of the main EU priorities for the new Commission.
- Possible trade wars: From 2025, the new US presidency led by Donald Trump will likely bring tariffs that will impact trade in Belgium and Germany. A trade war between Germany and the US could be costly, especially now due to the discrepancies of the coalition regarding the state budget
- Security: Ukraine is one of the EU's main security priorities. There are clear differences between Germany and Trump's presidency. This will likely make the conflict in Ukraine more complex if US military aid is removed and only Germany keeps sending arms deliveries to Ukraine in 2025.
- Economic instability: In the last month, the euro has fallen compared to the US dollar and the British pound. In addition, inflation is slowly increasing in many Eastern European countries. The political instabilities caused by the coalition of Germany and France can heavily impact the euro and their national economies in the future.

Implications and Recommendations

In Germany and France, the implication is the end of a period of relative stability, towards one filled with more uncertainty and surprise. The main implication is for the EU. Indeed, the Franco-German couple is generally described as the motor of EU initiatives. At a time of international uncertainty, the lack of stability in both countries may weaken the capacity of the EU to respond to the crisis, particularly in Ukraine and in its trade with the US. Moreover, this instability can lead to a negative economy, as seen in how the euro has fallen compared to the US dollar.

Ireland is pressured to form a government before Donald Trump's US presidency starts. The main two parties forming a coalition need to find a third party in time to show a strong government, negotiate trade tariffs, and form an alliance with the new US government. The United Kingdom is also facing pressure, such as finding new agreements with the EU and improving its relationship with the EU after Brexit while avoiding being caught between the UK and the US.

The overall political instability flooding many Western European countries these few weeks shows a weak Europe that will face what looks like a strong and united US government in the next year. This instability, which comes from unstable coalitions created to avoid the far-right parties reaching the government, could heavily impact US-EU relations since a weak Europe will not have much leverage to negotiate with.

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Alma has joined London Politica as a Programme Analyst for the Europe Desk. Currently working as the Coordination and EU Affairs Officer at Marcogaz, a technical association of the European gas industry. Alma monitors developments in EU gas and energy policies while providing reports of meetings related to the EU energy strategy. Through this role, she has gained experience and knowledge in policy analysis, the legislative process of the EU, and the different priorities on gas and energy for the EU and other stakeholders. Alma completed her bachelor's degree in international relations and modern languages at the University of Essex and graduated with her master's in international political economy at King's College London.

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